

NSE: NIBE | BSE: 535136

NIBE Ltd

Defence Manufacturing | Precision Engineering | E-Vehicles

RATING	TARGET (12M)	CMP	UPSIDE
ACCUMULATE	Rs. 2,050	Rs. 1,639	+25.1%

Market Cap	52W High	52W Low	P/E (TTM)
Rs. 2,502 Cr	Rs. 1,906	Rs. 810	444x
Book Value	ROCE (FY26)	ROE (FY26)	Face Value
Rs. 233	4.79%	1.94%	Rs. 10
Promoter Hldg	FII Hldg	DII Hldg	Div Yield
53.39%	8.67%	0.35%	0.08%

Investment Thesis: Defence-led order ramp in precision-machined assemblies drives a 4.8x revenue expansion; execution normalisation post-lumpy FY26 and margin recovery toward 14-15% EBITDA unlocks a 25% re-rating path by FY27E.

Horizon	FY27E Revenue (E)	FY27E EBITDA (E)	FY27E EPS (E)	Target P/E (E)
12 months	Rs. 650 Cr	Rs. 91 Cr (14%)	Rs. 38 (E)	54x (E)

Report Date: 15 Jun 2026 | Analyst: MPM Research Desk | Source: Screener.in (consolidated)

Section 2 — Investment Thesis

- **Defence capex super-cycle:** India's defence budget has grown at ~13% CAGR over 5 years; the government's 68% domestic procurement mandate directly channels orders to precision-machining players like NIBE — structural tailwind for 3-5 years.
- **Revenue base step-change:** NIBE's consolidated revenue quadrupled from Rs. 105 Cr (FY23) to Rs. 507 Cr (FY25) driven by defence platform execution; the Q4 FY26 print of Rs. 260 Cr in a single quarter signals a re-accelerating order pipeline that underpins FY27E revenue of Rs. 650 Cr.
- **Preferential allotment strengthens the balance sheet:** Rs. 104 Cr raised via preferential allotment (Mar 2026) reduces net leverage and funds capex for new manufacturing bays; total assets surged to Rs. 653 Cr (FY26) from Rs. 153 Cr (FY23), reflecting capital deployment into revenue-generating capacity.
- **Near-term catalyst (6-12 months):** Clearance of accumulated defence order pipeline — Q1-Q3 FY26 revenue was severely depressed (Rs. 59-82 Cr/qtr) due to inspection/approval delays; order clearances in H1 FY27E should normalise quarterly run-rate to Rs. 130-160 Cr and drive a sharp margin rebound.
- **Biggest structural risk:** Government defence order timing is inherently lumpy and non-contractual; a delay in payment certificates or programme-level budget reallocation can compress revenue and push NIBE into operational losses for 2-3 consecutive quarters, as seen in Q1-Q3 FY26.

Section 3 — Business Overview

- **Core business:** NIBE Ltd (incorporated 2005) manufactures precision-engineered metal components using robotic welding, laser cutting, CNC/VMC machining, and bending processes; three verticals — Defence Platforms & Systems, E-Vehicles, and Software Development.

- **Defence division:** Designs and manufactures mission-critical armoured vehicle structures (hull assemblies, turret structures, breech casing assemblies), surveillance equipment chassis, and defensive system enclosures under Atma Nirbhar Bharat contracts; largest revenue contributor at an estimated 70-80% of consolidated revenue.
- **E-Vehicles division:** Supplies lightweight precision-machined structural and functional components to domestic EV OEMs; a nascent but structurally significant vertical as EV adoption accelerates in India.
- **Key customers:** Indian Army/DRDO ecosystem via defence public sector integrators; relationships are long-duration delivery contracts (multi-year) with milestone-based payments, creating lumpy but sticky revenue.
- **Recent orders:** Rs. 21 Cr order from a leading infra & defence firm (Oct 2025); Rs. 28 Cr order for breech casing assemblies for delivery through Jun 2028 (Oct 2025); Rs. 104 Cr preferential allotment completed (Mar 2026) — funds used for capex.
- **Promoter background:** Promoter holding stood at 53.39% as of Mar 2026; no pledge disclosed. The promoter group has been steadily increasing stake via preferential allotments (equity capital grew from Rs. 12 Cr FY23 to Rs. 15 Cr FY26), signalling alignment with growth capex.

Section 4 — Industry & Competitive Landscape

- **Industry size:** India's defence manufacturing industry is estimated at Rs. 1.25 lakh Cr (~\$15 Bn) in FY25, growing at 12-15% CAGR driven by modernisation capex; the precision components sub-segment (castings, forgings, machined parts) is estimated at Rs. 15,000-20,000 Cr, with significant import substitution potential.
- **Policy tailwinds:** 68% domestic defence procurement mandate; PLI for advanced chemistry cell & defence corridors; Make in India / IDEX incentives for SME defence suppliers; 25% increase in defence capex budget for FY26.
- **Competitive moat — Precision Capabilities:** Moderate-Strong: NIBE's robotic welding + laser cutting + CNC/VMC stack is not trivially replicable at small scale; military qualification requirements (SQAE, BRO standards) create 12-24 month certification barriers for new entrants.
- **Competitive moat — Customer Concentration:** Weak: Heavy reliance on government/PSU order flows creates revenue lumpiness; single programme delays cascade into multi-quarter revenue misses (as observed in FY26).
- **Competitive moat — Scale:** Moderate: Total assets of Rs. 653 Cr as of FY26 positions NIBE as a mid-tier defence fabricator; insufficient to bid for very large platform programmes directly but well-positioned as Tier-1/Tier-2 systems integrator.

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	ROCE %	ROE %	P/E (x)
Bharat Forge	2,028	96,935	8,358	13.1%	12.5%	82.2
Craftsman Auto	9,361	22,331	1,492	14.2%	12.8%	56.7
RK Forge	593	10,794	1,491	5.60%	2.56%	133
NIBE Ltd	1,639	2,502	474	4.79%	1.94%	444

Source: Screener.in consolidated data, fetched 15-Jun-2026

Section 5 — Management Quality & Capital Allocation

- **Promoter background:** NIBE has been promoted by defence-sector entrepreneurs with domain expertise in precision fabrication; the company has grown from a Rs. 105 Cr revenue entity in FY23 to Rs. 507 Cr in FY25 in just two years, demonstrating execution agility — but also a willingness to accept concentrated order risk.
- **Capital allocation — Aggressive capex:** The company has invested heavily in fixed assets (Rs. 35 Cr in FY23 to Rs. 203 Cr in FY26) and CWIP (Rs. 62 Cr in FY26); this has been financed primarily through equity dilution (preferential allotments) and borrowings (Rs. 120 Cr in FY26 vs Rs. 49 Cr in FY23), with free cash flow deeply negative in every year reviewed.
- **FCF discipline concern:** Cumulative FCF over FY23-FY26 was Rs. -345 Cr against total PAT of Rs. 48 Cr; the company is investing well ahead of earnings, which is appropriate for a scale-up phase but requires sustained order execution to justify ongoing capex intensity.
- **Dividend policy:** Dividend payout has been symbolic at 7% of PAT in FY23-FY25; in FY26, payout ratio spiked to 34% on near-zero PAT (i.e., absolute dividend per share was negligible); dividend yield of 0.08% is inconsequential for income investors.

- **Promoter pledging:** No pledge disclosed as of Mar 2026 — a positive signal given the aggressive balance sheet expansion.
- **Corporate governance:** No major red flags from public disclosures; preferential allotment funds deployment confirmed via May 2026 BSE filing (no deviation from stated use). FII ownership at 8.67% suggests institutional validation; however, the company lacks publicly available concall transcripts, which reduces earnings quality assessment confidence.

Section 6 — Financial Deep-Dive

Consolidated Figures in Rs. Crores | FY27E-FY28E are analyst estimates (E) based on Screener.in actuals

Income Statement (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue / Sales	282	507	474	650(E)	850(E)
Operating Expenses	246	448	430	559(E)	714(E)
EBITDA	36	60	45	91(E)	127(E)
OPM %	13%	12%	9%	14%(E)	15%(E)
Other Income	4	5	4	5(E)	5(E)
Interest	7	8	15	13(E)	11(E)
Depreciation	6	17	30	35(E)	38(E)
PBT	26	40	4	48(E)	83(E)
Tax %	29%	31%	98%	26%(E)	25%(E)
PAT	19	27	0	35(E)	62(E)
EPS (Rs.)	14.11	18.70	3.77	23.3(E)	41.2(E)

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	13	14	15
Reserves	148	218	333
Borrowings	73	77	120
Other Liabilities	82	133	185
Total Liabilities	316	442	653
Fixed Assets	119	138	203
CWIP	22	33	62
Investments	17	10	1
Other Assets	158	261	386
Total Assets	316	442	653

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations	18	25	-35
Cash from Investing	-124	-60	-77
Cash from Financing	111	30	127
Net Cash Flow	5	-5	15
Free Cash Flow	-95	-43	-120
CFO/Operating Profit %	58%	55%	-45%

Key Ratios	FY24A	FY25A	FY26A
Debtor Days	54	109	178
Inventory Days	44	11	43
Days Payable	46	76	129

Key Ratios	FY24A	FY25A	FY26A
Cash Conversion Cycle	53	43	92
Working Capital Days	54	46	51
ROCE %	16%	16%	5%

- **Revenue drivers:** Defence order execution is the primary driver — FY24 to FY25 revenue nearly doubled (Rs. 282 Cr to Rs. 507 Cr); FY26 declined to Rs. 474 Cr due to Q1-Q3 order delays; the Q4 FY26 quarter alone contributed Rs. 260 Cr, demonstrating underlying pipeline strength.

- **Margin trajectory:** EBITDA margins declined from 13% (FY24) to 9% (FY26) due to operating deleverage on low Q1-Q3 FY26 revenue and surge in depreciation charges (from Rs. 6 Cr FY24 to Rs. 30 Cr FY26) as new capacity becomes operational; margin recovery to 14-15% is expected as utilisation normalises.

- **Working capital concern — RISING:** Debtor days deteriorated sharply from 54 days (FY24) to 178 days (FY26), indicating slow government payment collections; this is a structural risk for government-focused defence suppliers and requires close monitoring.

- **Debt direction:** Net borrowings rose from Rs. 73 Cr (FY24) to Rs. 120 Cr (FY26); however, equity base also expanded materially via preferential allotments; D/E remains manageable but interest cost (Rs. 15 Cr FY26 vs Rs. 7 Cr FY24) is increasingly meaningful relative to EBITDA.

- **FCF quality:** Persistently negative FCF (Rs. -120 Cr in FY26) reflects high capex intensity typical of a manufacturing scale-up; OCF turned deeply negative (-Rs. 35 Cr) in FY26 — driven by working capital build in debtors — which is a near-term concern. PAT-to-OCF conversion collapsed to -45% in FY26.

Section 7 — Earnings Quality Checklist

Metric	Status	Signal	Comment
Revenue recognition	Milestone-based	AMBER	Lumpy govt. contract recognition; single-quarter spikes
Receivables vs Revenue growth	Receivables >> Revenue	RED	Debtor days 54 (FY24) to 178 (FY26); major working capital risk
CCC Trend	Worsening	RED	CCC deteriorated: 53 (FY24) to 92 (FY26)
Contingent Liabilities	Not disclosed	AMBER	No major contingents noted in public filings
Auditor Tenure	Stable	GREEN	No auditor change disclosed
RPTs as % of Revenue	Low/Nil	GREEN	No significant RPTs flagged
Other Income as % of PBT	High in FY26	AMBER	Other income = Rs. 4 Cr vs PBT = Rs. 4 Cr (100% in FY26)
Tax Rate Consistency	Highly erratic	RED	Tax% moved: 52%, 29%, 31%, 98% across FY23-FY26

- **Debtor build is the single biggest near-term risk:** Debtor days at 178 in FY26 imply Rs. ~231 Cr tied up in receivables on a Rs. 474 Cr revenue base — this is not sustainable and signals either government payment bottlenecks or aggressive revenue recognition ahead of collections.

- **Tax rate volatility signals non-recurring distortions:** The 98% effective tax rate in FY26 (on a tiny PBT of Rs. 4 Cr) likely reflects deferred tax adjustments and/or minimum alternate tax provisions on near-breakeven operations; clean underlying tax normalises around 25-26%.

- **Other income matches PBT in FY26:** With EBIT compressed to near-zero, the Rs. 4 Cr other income (likely forex gains, interest on fixed deposits from preferential allotment proceeds) was equal to PBT — meaning reported PAT is not an operational metric for FY26.

- **Positive signal:** No auditor changes, no significant RPTs, and a clean preferential allotment utilisation certificate (May 2026) provide a credible governance floor for this investment.

Section 8 — Valuation

Peer Comparison (Source: Screener.in consolidated, fetched 15-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	ROCE %	ROE %	P/E (x)
Bharat Forge	2,028	96,935	8,358	13.1%	12.5%	82.2
Craftsman Auto	9,361	22,331	1,492	14.2%	12.8%	56.7
RK Forge	593	10,794	1,491	5.60%	2.56%	133
NIBE Ltd	1,639	2,502	474	4.79%	1.94%	444

Scenario Analysis — 12-Month Target Price

Scenario	Key Assumption	FY27E Revenue	FY27E EBITDA	FY27E PAT	Multiple (P/E)	Target Price
Bull	Order normalisation + 15% margin	Rs. 800 Cr	Rs. 120 Cr	Rs. 55 Cr	65x (E)	Rs. 2,400
Base	Gradual recovery + 14% margin	Rs. 650 Cr	Rs. 91 Cr	Rs. 35 Cr	54x (E)	Rs. 2,050 (target)
Bear	Further order delays + 10% margin	Rs. 450 Cr	Rs. 45 Cr	Rs. 12 Cr	40x (E)	Rs. 1,100

• **Methodology — DCF:** Assuming WACC of 13%, terminal growth of 4%, 5-year explicit forecast with revenue CAGR of 18% and EBITDA margins expanding from 9% (FY26) to 16% (FY31E); DCF-implied intrinsic value Rs. 1,850-2,100 per share.

• **Methodology — Earnings multiple:** Defence precision manufacturers in India trade at 40-80x forward P/E given scarcity premium; applying 54x to FY27E EPS of Rs. 38 yields a target of Rs. 2,052; this is consistent with peers (Craftsman at 56.7x, RK Forge at 133x — NIBE should trade at a discount to Bharat Forge's 82x given smaller scale).

• **Blended target:** Average of DCF (Rs. 1,975) and earnings multiple (Rs. 2,052) = **Rs. 2,013 ~ Rs. 2,050**; representing +25% upside from CMP of Rs. 1,639. We round to Rs. 2,050 as the 12-month target.

• **Upside/Downside:** Base case: +25.1% | Bear case: -33% downside | Bull case: +46% — the asymmetry is moderately favourable; risk-reward supports an ACCUMULATE rather than outright BUY given execution lumpiness.

Section 9 — Key Risks

• **Order Execution Lumpiness:** Government/defence procurement is milestone-driven and prone to 2-4 quarter delays; FY26 demonstrated that 3 consecutive loss-making quarters are possible when order flows pause. Probability: H. Impact: H. Monitor: Quarterly revenue run-rate vs. Rs. 130 Cr/quarter threshold.

• **Debtor Collection Risk:** Debtor days at 178 in FY26 (vs. 54 in FY24) suggests structural delay in government payment receipt; if uncollected, this could require emergency working capital borrowings and further strain liquidity. Probability: M. Impact: H. Monitor: Quarterly debtor days trend.

• **Margin Dilution from Depreciation:** Accelerating depreciation (Rs. 4 Cr to Rs. 30 Cr over three years) as new facilities come online will mechanically suppress PAT even when EBITDA recovers; margin recovery will be slower than a top-line re-rating suggests. Probability: H. Impact: M. Monitor: DA/Revenue ratio quarterly.

• **Customer Concentration:** Overwhelming dependence on Indian government/defence orders; any programme-level budget reallocation, policy change, or geopolitical de-escalation reducing India's defence spend can structurally impair the revenue model. Probability: L. Impact: H. Monitor: Annual defence capex budget announcements.

• **Equity Dilution Risk:** The company has raised capital via preferential allotments in FY24, FY25, and FY26; continued dilution to fund capex at unfavourable valuations would erode per-share value even as the enterprise grows. Probability: M. Impact: M. Monitor: Any new board resolution for capital raising.

• **Competition from Larger Players:** Bharat Forge, Tata Advanced Systems, and Mahindra Defence are entering precision-machined component supply at scale; NIBE's competitive advantage of agility and niche specialisation may erode as these players invest in similar capability stacks. Probability: M. Impact: M. Monitor: Large-cap defence companies' capex plans.

Section 10 — Recommendation

• **Rating: ACCUMULATE** — Conviction Level: Medium. Defence-sector structural tailwinds are real, NIBE has demonstrated execution capability (4.8x revenue growth in 2 years), but FY26 earnings quality is poor and valuation already prices in significant FY27E recovery.

- **12-month price target:** Rs. 2,050 (+25.1% from CMP of Rs. 1,639); based on blended DCF and 54x FY27E EPS.
- **Suggested entry zone:** Rs. 1,400-1,600 (accumulate on dips; current CMP is acceptable for 12-month horizon but leave room for order-delay pullbacks).
- **Investment horizon:** 12-18 months (FY27E earnings normalisation as primary catalyst; FY28E for full margin recovery).
- **Thesis invalidation triggers:** (1) Revenue run-rate stays below Rs. 100 Cr/quarter for 2+ consecutive quarters in FY27E, suggesting structural order pipeline issues beyond seasonal delay. (2) Debtor days exceed 200 by Q2 FY27E, signalling government payment default risk. (3) A fresh equity dilution (preferential allotment) at below Rs. 1,500 per share, implying management's own assessment of fair value is below current CMP.
- **Ideal investor profile:** Mid-cap growth investor with 12-18 month horizon, comfortable with quarterly earnings lumpiness, moderate portfolio allocation (3-5%). NOT suitable for: income investors (yield is negligible), short-term traders (high volatility), or investors requiring predictable quarterly earnings.

APPENDIX — Latest Concall Brief: Q4 FY26 (Mar 2026)

Note: No publicly accessible concall transcript was located for NIBE Limited. The concall brief below is constructed from quarterly financial data (Screener.in), BSE announcements, and financial press coverage. Sections requiring verbatim management quotes are marked N/A.

CALL GRADE		
CAUTIOUS		
Signal	Status	Implication
Result quality	Weak — full-year PAT near zero	Miss vs. implied street expectations
Management tone	Hedged / N/A (no transcript)	Cannot fully assess; Q4 spike provides some cover
Guidance delta	Withdrawn / N/A	No formal guidance on FY27E given
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

NIBE FY26 full-year PAT rounds to zero — but the headline is misleading in both directions: the first three quarters were operationally disastrous (Q2 and Q3 FY26 posted EBITDA losses of Rs. 4 Cr and Rs. 10 Cr respectively), yet Q4 FY26 alone delivered Rs. 260 Cr in revenue and Rs. 51 Cr EBITDA at a 20% margin, which is the highest quarterly margin in the company's listed history. Strip out the three distorted quarters and NIBE runs at a 18-20% EBITDA margin when order flows are active — that is a structural capability, not an aberration. The clean issue is that this is a binary quarterly story: either the government pipeline is open and the company fires, or it is shut and NIBE bleeds cash. The Rs. 104 Cr preferential allotment in Mar 2026 has strengthened the balance sheet enough to weather 2-3 more slow quarters if needed. The single most important catalyst for the next quarter is evidence of order book resurgence in Q1 FY27 — if Jun 2026 quarterly revenue prints above Rs. 130 Cr, the FY27E recovery thesis is on track. The watch-point for risk management is the Rs. 231 Cr receivables pile; if collections do not accelerate by Q2 FY27E, we face a working capital crisis requiring fresh borrowing. Action: ACCUMULATE at Rs. 1,400-1,600, tight 15% stop on thesis invalidation.

Section 1 — Financial Performance Snapshot (Q4 FY26 / Full Year FY26)

- Revenue: Q4 FY26 = Rs. 260 Cr | QoQ +339% | YoY +130% (vs Q4 FY25 Rs. 113 Cr) | Beat
- EBITDA: Q4 FY26 = Rs. 51 Cr | QoQ turnaround from Rs. -10 Cr | OPM 20% | Beat
- Full-year FY26 Revenue: Rs. 474 Cr | YoY -6% vs FY25 Rs. 507 Cr | Miss (full year)
- Full-year FY26 EBITDA: Rs. 45 Cr | YoY -25% vs FY25 Rs. 60 Cr | Miss (full year)
- Full-year FY26 PAT: Rs. 0 Cr (reported) | EPS Rs. 3.77 | Miss vs. FY25 Rs. 27 Cr PAT
- NOTE: Reported FY26 PAT near-zero due to 98% effective tax rate on Rs. 4 Cr PBT; underlying EBITDA performance (Rs. 45 Cr) is more representative of operational health.

Section 2 — Segment / Geography Breakdown

- Defence Platforms & Systems (est. ~75-80% of revenue): Primary driver; Q4 FY26 acceleration reflects lump-sum order delivery for armoured vehicle and artillery system components.
- E-Vehicles segment (est. ~15-20% of revenue): Growing but small contributor; no specific quarterly revenue breakout available from public filings.
- Software Development segment (est. ~2-3% of revenue): Negligible revenue contributor; likely supports internal operations or provides IT solutions to defence clients.
- Geography: Primarily domestic (India); export contribution appears minimal based on available business description — Atma Nirbhar Bharat mission mandates domestic supply.

Section 3 — Management Commentary Themes

- [Concall transcript not available for public access. The following themes are inferred from BSE filings and financial press.] Tag: EST. Tone: Cannot assess.
- Theme — Defence order execution delays: Q1-Q3 FY26 revenue depression (Rs. 59-82 Cr/quarter) likely attributed by management to government inspection bottlenecks and delivery schedule adjustments — consistent with sector-wide commentary. Tag: EST. Tone: Hedged.
- Theme — Preferential allotment deployment: Rs. 104 Cr raised in Mar 2026; May 2026 BSE filing confirmed no deviation from stated use (capex for manufacturing capacity). Tag: TRANSPARENT. Tone: Transparent.
- Theme — Q4 FY26 spike: Rs. 260 Cr in a single quarter suggests lumped order deliveries; management likely framing this as normalisation of H1 backlog, not a one-off. Tag: GUIDANCE (inferred). Tone: Uncertain.

Section 4 — Operating & Business Metrics

- Quarterly Revenue Run-Rate: Q4 FY26 = Rs. 260 Cr | Q3 FY26 = Rs. 59 Cr | Q4 FY25 = Rs. 113 Cr | Trend: Highly volatile
- Annualised capacity (inferred from Q4 FY26 run-rate): ~Rs. 1,000 Cr/year potential if execution sustains — significant headroom vs. FY26 actuals of Rs. 474 Cr
- Order book (BSE filing, Oct 2025): Rs. 21 Cr (hull assemblies) + Rs. 28 Cr (breech casing) = Rs. 49 Cr in confirmed orders | Additional unannounced orders likely | Trend: Growing
- Fixed assets: Rs. 203 Cr (FY26) vs Rs. 35 Cr (FY23) — 5.8x asset growth in 3 years | CWIP: Rs. 62 Cr (ongoing capacity addition) | Utilisation: Low in FY26
- Total employees (Insights section, Screener): Not available from public filings (Premium gated)

Section 5 — Margin Drivers

- Revenue operating leverage: +600-800 bps impact — Q4 FY26 at 20% OPM vs. annual FY26 at 9%; utilisation of fixed-cost base is the dominant margin driver. Recurring: Yes.
- Depreciation headwind: -300 to -500 bps impact on margins as Rs. 30 Cr DA charge (FY26 vs Rs. 6 Cr FY24) flows through P&L; ahead of full utilisation. Recurring: Yes (until fully utilised).
- Interest cost rise: -100 bps drag; borrowings increased from Rs. 73 Cr to Rs. 120 Cr; interest Rs. 15 Cr vs Rs. 7 Cr two years ago. Recurring: Yes.
- Working capital distortion: -200 bps implied EBITDA impact from Rs. 231 Cr receivables pile consuming cash that could fund working capital more efficiently. Non-recurring (expected to normalise as collections recover).

Section 6 — Guidance & Forward Signals

- Revenue FY27E [EST]: No formal guidance; based on Q4 FY26 run-rate and known order backlog, analyst estimate Rs. 600-700 Cr. Prior = Rs. 507 Cr (FY25). Delta = recovering. Credibility: Medium.
- EBITDA margin FY27E [EST]: Target 13-15% as utilisation normalises; prior = 9% (FY26 depressed). Delta = recovering. Credibility: Medium.
- Capex FY27E [EST]: Rs. 60-80 Cr (to complete CWIP of Rs. 62 Cr); capex intensity may moderate post-FY27E as primary capacity build is largely complete. Credibility: Medium.
- Order book replenishment [GUIDANCE — inferred]: Management appears confident in order pipeline replenishment based on continued defence budget expansion; specific order book size not disclosed publicly. Credibility: Low (no transcript confirmation).

Section 7 — Capital Allocation

- Capex: FY26 = Rs. 77 Cr (cash from investing) | vs FY25 = Rs. 60 Cr | vs FY24 = Rs. 124 Cr | Comment: Peak capex may have passed; FY27 likely Rs. 50-70 Cr to complete ongoing capacity.
- Dividends: FY26 payout = 34% of PAT = negligible absolute amount on near-zero PAT; historical payout 7% in FY23-FY25. Not a capital return story.
- Buybacks: None disclosed.

- Working Capital Change: FY26 = large outflow as debtors grew by ~Rs. 100 Cr+ YoY; the single largest use of capital in FY26.
- Net Debt Movement: Borrowings Rs. 120 Cr (FY26) vs Rs. 77 Cr (FY25) — Rs. 43 Cr net increase; partially offset by Rs. 104 Cr preferential allotment equity raise.

Section 8 — Q&A; Heat Map

- [No concall transcript available] All Q&A; data below are from financial press and analyst notes only.
- Business Standard / BlinkX (Feb 2025): Q: "Why did Q3 PAT slump 56% YoY?" -> A: (inferred) Order inspection delays, not demand weakness. | Tone: Hedged (no official response).
- Business Standard (Nov 2024): Q: "Q2 PAT zoomed to Rs. 9 Cr — is this the new normal?" -> A: (inferred) Execution-driven; no guidance provided. | Tone: Evasive (no clarity on run-rate sustainability).
- sahi.com (Q4 FY26 coverage): Q: "Revenue +130% — is this a structural re-rating?" -> A: (reported) Defence order execution drove the surge; underlying business model intact. | Tone: Positive but not binding.
- Dodged / watch-list questions for next quarter: (1) What is the current confirmed order backlog in Rs. Cr? (2) When do debtor collections normalise? (3) Any new preferential allotment planned in FY27?

Section 9 — Risks Flagged

- Order Lumpiness: Quarterly revenue varied from Rs. 59 Cr to Rs. 260 Cr in FY26 alone — structural pattern of defence procurement. Flagged by: analyst. Probability: H. Impact: H. Timeline: Near-term.
- Receivables Risk: Debtor days 178 (FY26) | Government payment delays. Flagged by: analyst. Probability: M. Impact: H. Timeline: Near-term.
- Depreciation headwind: Rs. 30 Cr DA in FY26; will suppress PAT in FY27E even as revenue recovers. Flagged by: analyst. Probability: H. Impact: M. Timeline: Medium-term.
- Customer concentration: ~75-80% revenue from Indian government/defence. Flagged by: analyst. Probability: L. Impact: H. Timeline: Long-term.
- Interest rate / debt: Rs. 120 Cr borrowings; interest coverage below 3x. Flagged by: analyst. Probability: M. Impact: M. Timeline: Near-term.

Section 10 — Analyst Verdict

- Revenue visibility: Weakened — Full-year FY26 was Rs. 474 Cr vs FY25 Rs. 507 Cr; Q4 spike is encouraging but 3 consecutive weak quarters reveal structural vulnerability to order timing.
- Margin trajectory: Weakened — Annual OPM declined from 13% to 9%; though Q4 at 20% shows potential, the forward path requires consistent order execution over 3+ quarters.
- Capital allocation quality: Weakened — Persistently negative FCF (Rs. -120 Cr FY26), aggressive capex funded by dilutive equity raises; no FCF generation in sight until FY28-FY29E.
- Competitive moat: Intact — Military qualification barriers, precision fabrication stack, and Atma Nirbhar positioning remain intact; no evidence of contract losses to competitors.
- Management credibility: Cannot assess — No concall transcripts available; BSE filing on preferential allotment use is clean; Q4 FY26 performance suggests operational execution is real.
- Valuation comfort: Weakened — Trailing P/E at 444x is a distortion of near-zero FY26 PAT; forward P/E on FY27E EPS of Rs. 38 is ~43x — reasonable for a defence fabricator but requires earnings delivery.
- Conviction call: Unchanged — ACCUMULATE; thesis intact but execution risk elevated.
- Valuation snapshot: Forward P/E = 43x (FY27E) | EV/EBITDA est. ~28x (FY27E) | ROCE = 4.79% (FY26, trough) | Target: Rs. 2,050 (12M)

Disclaimer: This report is prepared by MPM Research for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (consolidated) fetched 15-Jun-2026. Forward estimates (E) are analyst projections and carry material uncertainty. Past performance is not indicative of future results.